Activity 7 — Closing the Loop — F&B Chain Losing Repeat Customers

Topic	7 — Generating Return Business from Feedback
Mapping	LO2 · Analyse multi-channel feedback, find root causes, and build a closed-loop improvement plan.
Format	Case Study + Group Presentation
Duration	25 minutes
Roles	Groups of 4–5. Each group presents a 3-minute plan to the class acting as management.

The Scenario

Kopi & Co is a Singapore café chain with 9 outlets. Repeat-customer rate has fallen 15% this quarter. Management wants a recovery plan. Here is the feedback that exists:

GOOGLE REVIEWS (rating fell 4.4 → 3.8): 'Waited 25 min for a flat white at Raffles Place, staff seemed overwhelmed.' · 'Ordered on the app, got the wrong drink twice.' · 'Nobody acknowledged me at the counter for 5 minutes.' · 'Food is still great, service has really slipped.'

POST-VISIT SURVEY (CSAT 62%, down from 81%): lowest-scoring item is 'speed of service' (48%); highest is 'product quality' (91%). Only 4% of visitors complete the survey.

SUPPORT TICKETS: app order errors up 3x since the June app update. 70% of tickets are wrong-item.

STAFF FEEDBACK (from a shift-leader WhatsApp group, never formally collected): 'The new app sends orders to the bar without the modifier field.' · 'We lost 2 baristas at Raffles Place in May, still not replaced.' · 'Nobody from HQ has asked us anything.'

Nothing has been fed back to any customer who left a review or completed a survey.

What You Will Produce

A closed-loop improvement plan: root causes, 3+ strategies, owners, timeline and success measures.

Materials: Feedback analysis grid · Closed-loop plan template.

Discussion Questions

© 2026 Tertiary Infotech Academy Pte Ltd. All rights reserved. · www.tertiarycourses.com.sg

1. Sort every piece of feedback by CHANNEL. What is each channel good at capturing, and what does each one miss?
2. Only 4% complete the survey and CSAT is 62%. What is wrong with concluding '62% of our customers are satisfied'?
3. Separate SYMPTOMS from ROOT CAUSES. The 25-minute wait is a symptom — what is causing it?
4. The staff feedback identifies the app modifier bug that support tickets only show as 'wrong item'. What does that tell you about operational feedback channels?
5. Not one customer who left feedback has heard anything back. What does that cost, beyond this quarter?
6. Build the plan: at least 3 strategies, each with an owner, a timeline and a success measure. What will you measure, and when will you know it worked?

Step-by-Step

1. Form groups of 4–5. On a flip chart, draw a four-column grid: REVIEWS · SURVEY · TICKETS · STAFF.
2. Place every piece of feedback from the case into its column. Then, under each column, write one line on what that channel is GOOD at seeing and one line on what it is BLIND to.
3. Discuss the 4% response rate. Write down explicitly why 62% CSAT cannot be read as '62% of customers are satisfied' — name the non-response bias and the silent-majority effect.
4. Draw a second area: SYMPTOMS on the left, ROOT CAUSES on the right. Move each item across only when you can state the mechanism. '25-minute wait' moves to the right only as 'Raffles Place is 2 baristas short'.
5. You should end with exactly three root causes. If you have more than five, you are still listing symptoms; if you have one, you have over-consolidated.
6. For each root cause, write one strategy. A strategy must name WHO does WHAT by WHEN. Reject any strategy that is a slogan.
7. Add a fourth strategy that fixes the MISSING closed loop itself — how will customers who gave feedback be told what changed? This is the strategy most groups forget.
8. For every strategy, define a success measure with a number and a review date. 'Wrong-item tickets below 10/week by 30 Sept' is a measure; 'better service' is not.
9. Add a fifth element: how will you collect STAFF feedback formally from now on, so the next modifier bug does not sit in WhatsApp for three months?

© 2026 Tertiary Infotech Academy Pte Ltd. All rights reserved. · www.tertiarycourses.com.sg

10. Prepare a 3-minute presentation: the three root causes, your strategies with owners and dates, your measures, and your closed-loop mechanism. Nominate one presenter.

11. Present to the class. The class acts as management and must ask one challenging question per group.

Debrief — What a Strong Answer Looks Like

- Channel biases: reviews capture the extremes (delighted and furious) and skew negative; surveys capture the compliant middle; tickets capture only what customers bothered to report; staff feedback captures CAUSES the other three only show as symptoms.
- 4% response rate means severe non-response bias — and roughly 56% of unhappy customers never complain at all. 62% CSAT is the score of the 4% willing to answer, not of the customer base.
- Root causes are: (1) the June app update dropped the modifier field, (2) Raffles Place is 2 baristas short since May, (3) there is no closed loop so nothing gets fixed. The 25-minute wait and the wrong drinks are downstream of these.
- The staff channel had the highest-value diagnostic information in the whole case — and it was sitting in an informal WhatsApp group because no formal operational feedback channel exists. This is exactly the operational feedback gap.
- Silence costs the future: customers who give feedback and see nothing change stop giving feedback, and the early-warning system goes dark. The 15% drop is what you can see; the lost channel is what you cannot.
- A good plan is specific: 'Ops Manager fixes the modifier field by 5 Sept, measured by wrong-item tickets falling below 10/week' beats 'improve the app'. Push every group to name an owner, a date and a number.

Check Your Work

Your plan names 3 root causes (not symptoms), has an owner and date for every strategy, includes a numeric success measure, and contains an explicit mechanism for telling customers what changed.

© 2026 Tertiary Infotech Academy Pte Ltd. All rights reserved. · www.tertiarycourses.com.sg